involved group-based relocation of refugees and allotment of land in groups to owners and tenants. This was possible because the great displacement during Partition had occurred at the community level, along particular district to district corridors. Village level allotments were undertaken to ensure that close relatives didn't live too far off. Using a system of the graded cut of a 'standard acre', the displaced were allocated land to compensate for what they had lost to the best extent possible, taking into account criteria such as land size, yield, revenue assessment, value of gross produce, profit value and lease value. Land allotment coincided with financial assistance given towards the purchase of agricultural inputs. As a result, over half a million families could resume agricultural activities in Punjab in quick time. Tarlok Singh was rewarded for his efforts by a promotion to the powerful Planning Commission where he worked for nearly two decades. Later, he served as the deputy executive director of the United Nations Children's Fund (UNICEF) between 1970 and 1974.

Urban rehabilitation proved to be trickier as vacant properties could not simply be re-occupied by incoming migrants. As A.P. Jain (1902–77), minister for relief and rehabilitation would find out, the economic status of outgoing urban Muslims was lower than those of incoming urban non-Muslims.[24] In 'history's biggest refugee crisis', as he described it, differing occupational profiles in the population exchange mattered greatly when it came to effective rehabilitation. Half a million families from West Pakistan had to be accommodated in towns, and by 1952 over 80 per cent had found a place in 'evacuee houses, houses and tenements newly constructed by the rehabilitation ministry and in houses constructed by the displaced persons'.[25] More than ten new townships were also developed. However, in housing arrangements, caste would inevitably be a source for segregation as 'Harijan refugees' were physically separated from upper castes in government resettlement policies.[26] According to one nasty upper-caste parody, 'untouchable' sweepers did not care about the violent chaos surrounding them during Partition, as nobody was going to 'touch' them in any case.[27]